

HP PRINT FRANCHISE PORTFOLIO PROJECT

FY27 Investment Case

New Printer Generation Launch vs. Instant Ink Subscription Acceleration

A financial modeling case study built on HP Inc.'s public FY25 disclosures

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The Decision

HP's own FY25 10-K names this tension directly: *a decline in the installed base and usage driving Supplies revenue down, met by a stated push toward subscription and recurring revenue as the mitigation strategy.*

- FY27 investment prioritization within HP's Printing franchise
- Two independent, individually fundable levers — run at different scopes, not equal footing (see Key Assumptions)
- 8.0% discount rate — midpoint of two independent, HPQ-specific third-party WACC estimates
- 5-year horizon: FY27–FY31

REAL FY25 ANCHORS

Printing segment revenue	\$16.8B
Supplies revenue decline	-3.4% YoY
Hardware unit decline	-4.2% YoY
Hardware ASP decline	-1.5% YoY
Instant Ink subscribers	13M+

OPTION A

New Printer Generation Launch

- Hardware effect: parallel offset — the launch buys back one year of secular decline, not permanent immunity
- Aftermarket recapture: new units carry a higher OEM ink capture rate than an aging fleet
- NPI launch cost: \$150M–\$300M, bounded against HP's real \$1.6B company-wide R&D spend
- Two-line margin structure: 4% hardware, 28% supplies — reflects the real razor-and-blades economics

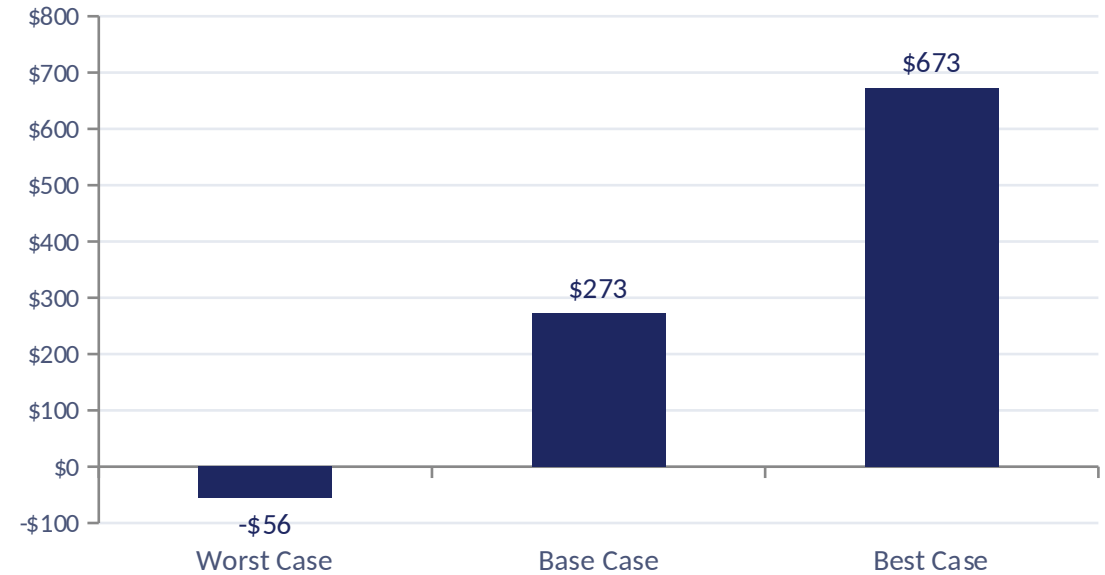
\$272.6M

Base Case NPV

SCOPE: FULL PRINTING SEGMENT — CONSUMER + COMMERCIAL (SEE NOTE, SLIDE 9)

Worst case is genuinely negative — a real finding, not a modeling flaw.

Option A — NPV Range (\$M)



OPTION B

Instant Ink Subscription Acceleration

- Target: global consumer/home — the remaining non-subscribed transactional cohort in an otherwise-mature market
- Growth acceleration: sustained push above the real, decelerating organic subscriber trend
- Cost: \$20–\$60 per incremental subscriber, sized off the model's own derived ARPU (~\$79/subscriber/yr)
- Genuinely non-linear model — growth compounds; verified via Excel's native Data Table feature

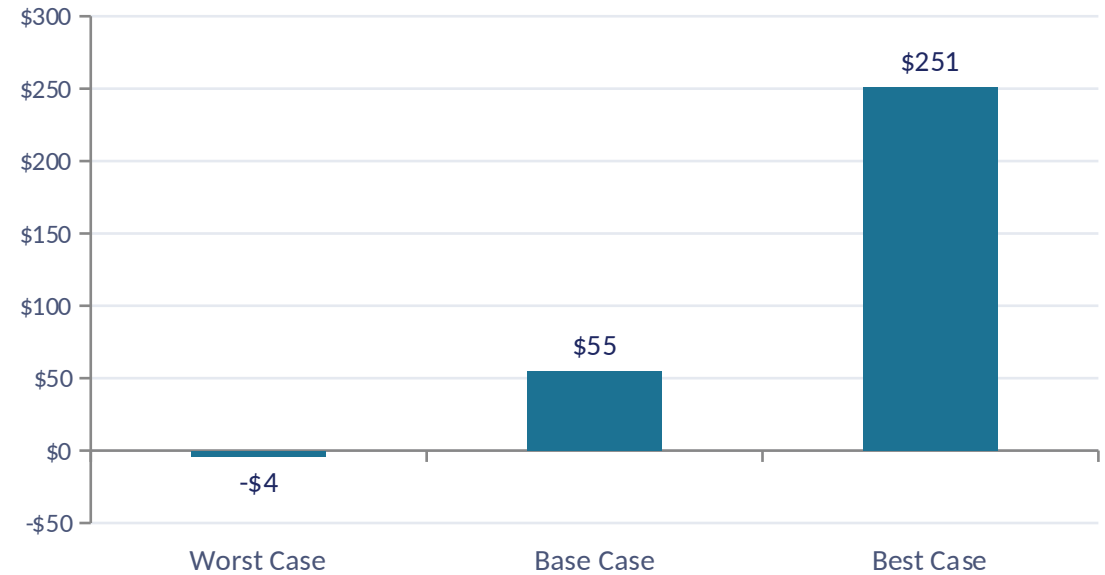
\$55.2M

Base Case NPV

SCOPE: GLOBAL CONSUMER/HOME SEGMENT ONLY (SEE NOTE, SLIDE 9)

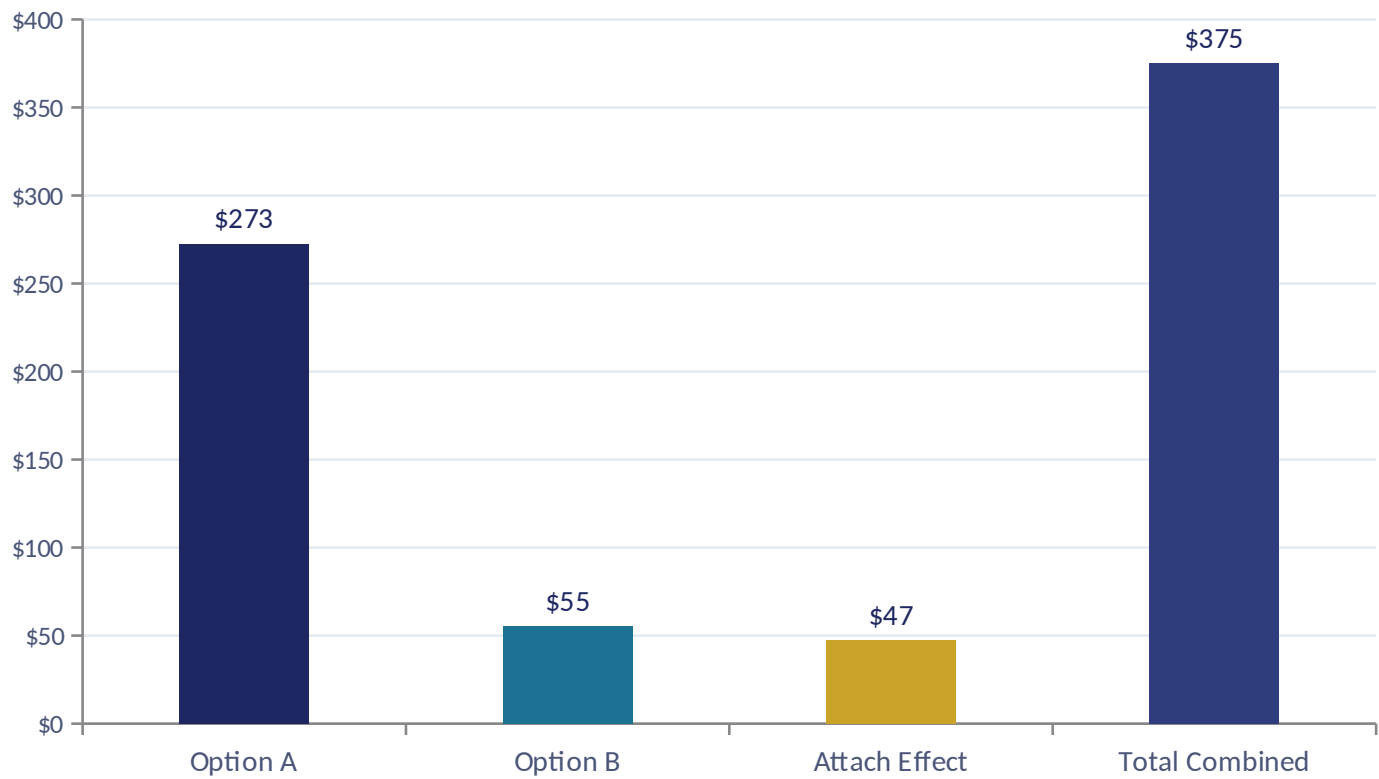
Lower absolute ceiling than Option A, but a materially safer downside.

Option B — NPV Range (\$M)



Coordinated Strategy

Traditional hardware thinking → independent subscription growth → converged strategy



\$47.3M

in coordination value that neither option delivers funded alone

New-generation buyers convert to Instant Ink at the point of sale — a mechanism distinct from both Option A's OEM-capture economics and Option B's active-marketing push.

Shown as a directional estimate — a simple, un-netted sum of independently-verified components, not a precision figure. Option A and Option B run at different scopes (full Printing segment vs. global consumer/home — see Key Assumptions); read this sum as directional, not apples-to-apples addition.

Portfolio Comparison

	Worst	Base	Best
Option A	-\$55.9M	\$272.6M	\$672.7M
Option B	-\$4.1M	\$55.2M	\$251.2M
Combined Scenario	—	\$375.1M	—

STRATEGIC SCORING SNAPSHOT

Criterion	Option A	Option B
Opportunity size	High	Med
Growth trajectory	Low	High
Structural durability	Low	High
Execution complexity	Med	Low
Cannibalization risk	Low	Med-High

READING THE COMPARISON

- Option A carries the larger opportunity but a genuinely negative worst case, and its aftermarket edge resets rather than compounds as the fleet ages again.
- Option B offers a materially safer downside and durable value once converted, but a smaller ceiling on its own.
- *Neither dimension alone tells the full story — see the Recommendation.*

⚠ SCOPE LIMITATION

Scope limitation: Option A's economics are presented at full Printing-segment scale (all product lines, all generations, consumer and commercial combined). A real single-generation launch decision represents some fraction of this that HP does not publicly disclose and this model does not estimate. Figures here should be read as a ceiling case for a segment-wide refresh posture, not the literal economics of one product launch. Option B is scoped to the global consumer/home segment specifically.

RECOMMENDATION

Fund both, coordinated — not run independently.

- Option A carries the larger base-case opportunity (~5x Option B's) but a genuinely negative worst case, and its aftermarket edge decays on its own clock as the refreshed fleet ages, resetting rather than compounding.
- Option B offers a materially safer downside and durable, non-decaying value once converted, but a smaller absolute ceiling on its own.
- The stronger finding isn't which one to prioritize — it's that designing the subscription push to run in tandem with the hardware launch captures real additional value (~\$47.3M in this model) that neither option delivers alone.
- **Recommendation: fund both, with Option B's marketing/enrollment strategy deliberately built around Option A's launch timeline — not scheduled independently.**

APPENDIX

Assumptions, model detail, scoring rationale, and real-world context

Key Assumptions

Assumption	Value	Basis
Discount rate (WACC)	8.0%	Midpoint of two independent, HPQ-specific third-party estimates (7.47% / 9.0%)
Horizon	FY27–FY31	5-year window, same convention across both options
Hardware margin (Opt. A)	4%	Derived from FY25 blended Printing margin (18.7%) and est. hardware mix
Supplies margin	28%	Derived alongside hardware margin to reconcile the blended average
NPI launch cost (Opt. A)	\$150–300M	Bounded against HP's real \$1.6B FY25 company-wide R&D expense
CAC per subscriber (Opt. B)	\$20–\$60	Derived from the model's own implied ARPU (~\$79/subscriber/yr)
Attach conversion rate	15%	Softest assumption in the model; bounded by the real 60% HP+ shipment figure

 Scope limitation — read before citing these figures together: Option A is scoped at full global Printing-segment scale (all product lines/generations, consumer + commercial combined); a single-generation launch is some undisclosed fraction of this, so these are ceiling-case figures for a segment-wide refresh, not one launch's literal economics. Option B is scoped to the global consumer/home segment (relabelled from "US consumer/home" — Instant Ink operates in the US, Canada, Australia, NZ, and most of Europe). HP discloses no consumer/commercial or per-product-line revenue split — this gap is stated here, not papered over.

Option A — Sensitivity Grid (illustrative)

Full model: 16×16 grid, Recapture Premium × NPI Cost. Sample shown below.

	\$150	\$180	\$210	\$240	\$270	\$300
1.5%	\$83	\$55	\$27	\$0	-\$28	-\$56
2.5%	\$201	\$173	\$145	\$118	\$90	\$62
3.5%	\$319	\$291	\$263	\$235	\$208	\$180
4.5%	\$437	\$409	\$381	\$353	\$326	\$298
5.5%	\$555	\$527	\$499	\$471	\$443	\$416
6.5%	\$672	\$645	\$617	\$589	\$561	\$534

Rows: Recapture Premium • Columns: NPI Launch Cost • Values: NPV (\$M)

Full 16×16 grid, conditional formatting, and toggle-independent construction detailed in the accompanying Excel model.

Option B — Sensitivity Grid (illustrative)

Full model: 7×7 grid, Growth Acceleration × CAC. Confirmed non-linear — built via Excel's native Data Table.

	\$20	\$26.67	\$33.33	\$40	\$46.67	\$53.33	\$60
2%	\$59	\$49	\$38	\$28	\$17	\$6	\$-4
3%	\$90	\$74	\$58	\$41	\$25	\$9	\$-7
4%	\$121	\$99	\$77	\$55	\$33	\$12	\$-10
5%	\$152	\$125	\$97	\$69	\$41	\$14	\$-14
6%	\$185	\$151	\$117	\$83	\$49	\$15	\$-19
7%	\$218	\$177	\$137	\$97	\$56	\$16	\$-24
8%	\$251	\$204	\$157	\$111	\$64	\$17	\$-30

Rows: Growth Acceleration • Columns: CAC per Incremental Subscriber • Values: NPV (\$M)

Non-linear surface — confirmed before building, by checking that the Base/Base value did not equal the average of the two opposite corners.

Scoring Framework Detail

Criterion	A	B	Rationale
Opportunity size	High	Med	A touches the entire \$16.8B segment; B targets ~10% (Supplies subscription slice, internally estimated)
Growth trajectory	Low	High	Segment declining ~3–4%/yr; subscriber base growing ~7–9%/yr organically
Competitive intensity	Med	Low-Med	Generic-cartridge and big-tank competition named directly in HP's 10-K
Structural durability	Low	High	A's edge resets, not compounds, as the fleet ages again; B shows real >90% subscriber retention (2020 HP filing)
Fit with capabilities	High	High	A: established NPI process. B: subscription billing infra already at scale
Execution complexity	Med	Low	A requires a full hardware program; B is a marketing/enrollment push
Time-to-impact	Med	High	NPI cycles take real planning time; a campaign can launch quickly
Cannibalization risk	Low	Med-High	B's best acquisition targets — high-usage, loyal transactional buyers — are also its most valuable customers being given up

What This Looked Like in Practice

Real dynamics from my own experience at HP — not modeled in the quantitative build above.

Cannibalization discourse

Real strategic discourse existed around cannibalization risk as subscription grew relative to the traditional hardware and cartridge model.

LTV uplift wasn't a given

Whether Instant Ink drove a lifetime-value uplift at all — not just its magnitude — was genuinely contested internally, and that debate led to real, consequential decisions: a pricing structure change, and the elimination of a plan tier.

The “forgotten subscription” effect

Some subscription value came from customers who functionally forgot they were subscribed — a real, positive effect for Instant Ink, but not something to design a strategy around.

Sources

- HP Inc. Form 10-K, FY2025 (SEC EDGAR)
- HP Inc. FY25 Full Year & Quarterly Earnings Releases (SEC 8-Ks)
- Alpha Spread — HPQ Discount Rate (WACC estimate)
- valueinvesting.io — HPQ WACC, Cost of Equity/Debt
- MacroTrends — HP R&D Expenses, 2012–2026
- HP management commentary, Morgan Stanley TMT Conference (Mar 2024)
- HP Securities Analyst Meeting commentary (Oct 2023)
- HP Inc. SEC Form SC 14D9C, 2020 (investor presentation)
- Harvard Business School — “HP Instant Ink” case listing
- HP investor/press commentary on Printing segment economics

Full bibliography with direct links maintained in the project's working context file.